

DEMO.CRE.REC.22/21.04.048/2025-26

Guidelines on Digital Lending and Lending Service Providers

In exercise of the powers conferred under the applicable statute, the following directions are issued. These directions shall come into force with immediate effect and shall supersede earlier instructions on the subject to the extent that they are inconsistent.

1. Definitions

For the purposes of these guidelines, a digital lending application means a mobile or web based application used to facilitate lending. A lending service provider means an agent engaged by a regulated entity to carry out one or more functions of the lending process on its behalf.

2. Direct disbursal

All loan disbursals and repayments shall be executed only between the bank account of the borrower and the bank account of the regulated entity. No pass through or pool account of a lending service provider or of any third party shall be used.

3. Fees to service providers

Any fee payable to a lending service provider shall be paid directly by the regulated entity and shall not be charged to the borrower. The borrower shall not be required to make any payment to the lending service provider.

4. Key fact statement

A key fact statement shall be provided to the borrower before execution of the loan contract. It shall disclose the annual percentage rate, the recovery mechanism, the details of the grievance redressal officer, and the cooling off period.

5. Cooling off period

Borrowers shall be given a cooling off period of three days for loans with a tenor of seven days or more, and of one day for loans with a shorter tenor. During this period the borrower may exit the loan by repaying the principal and the proportionate annual percentage rate without penalty.

6. Credit limit increases

Automatic increases in credit limit without the explicit prior consent of the borrower are prohibited. Consent recorded through a pre ticked checkbox shall not constitute explicit consent.

7. Data collection

Data collected by digital lending applications shall be need based, shall be collected with the prior explicit consent of the borrower, and shall carry a clear audit trail. Access to the mobile phone resources of the borrower, including the contact list, the call log, the media files and the file library, is prohibited.

8. Grievance redressal

A grievance redressal officer shall be designated for complaints relating to digital lending. Where a complaint is not resolved within thirty days, the complainant may approach the ombudsman under the integrated ombudsman scheme.